Mike Drella

From: David Halligan <dhalligan@datawattenergy.com>
Sent: Thursday, October 29, 2026 11:30 AM
To: Clint Morris; Mike Drella
Cc: Conor Mullady
Subject: Letter to City of Belvidere
Attachments: Letter to the City of Belvidere 10.29.26.pdf; 20 Year Tax Estimates - Datawatt - 10.28.26 - Half Cost Comparison - Long.pdf; 20 Year Tax Estimates - Datawatt - 10.28.26 - Comparison - Long.pdf

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Dear Mayor Morris and Mike,

I am sharing the attached letter with you and Members of City Council to provide information from Datawatt regarding the status of Project Hawkeye.

Also attached are preliminary property tax estimates for Project Hawkeye based on different cost assumptions. These estimates are preliminary and subject to change based on actual construction costs, the scale of the campus and the timing of project build.

Best regards, David

David Halligan
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171 N. Aberdeen Street, Suite 4000
Chicago, IL 60607

DATAWATT ENERGY

October 29, 2026

Mayor Clinton Morris and Members of the City Council
City of Belvidere
401 Whitney Boulevard
Belvidere, Illinois 61008

Re: Project Hawkeye

Dear Mayor Morris and City Council of Belvidere:

Over the past two months, residents of Belvidere have come to City Hall to speak about Project Hawkeye. We hear and respect the concerns of all residents.

We want you, the Council and the community to understand why we have not presented the project publicly before now. Our most critical priority has been to establish whether ComEd and PJM can deliver power to this location to support the project; without that answer there is no Project Hawkeye. At the same time, we have been working through details that determine whether a project like Hawkeye would be a benefit to the people of Belvidere rather than a burden on them: electricity rates, water use, noise, financial commitments the project would make to the City and the schools, and the other matters residents have raised.

Our intention has always been to bring the project to the City in the normal course – annexation, zoning and a special use permit – with complete supporting materials that the Mayor, the Council and residents could evaluate for themselves. To date, no applications have been filed with the City and no requests for financial commitments have been or will be asked of the City.

We understand why learning about the project from news reports and records requests, rather than from us, has caused concern.

What we can say now, in plain terms, is this. The campus would use a closed-loop cooling system that minimizes water use. ComEd's tariffs and PJM's policies are designed to ensure that Project Hawkeye carries the cost of powering and energizing its operations – not the residents of Belvidere. Noise limits and setbacks from homes would be written into any agreement and enforceable by the City. The project could become among the largest property taxpayers in Belvidere, with revenue going to support Belvidere's schools, park district and public works, and to Boone County. Datawatt Energy will not ask the City for tax incentives.

Residents of Belvidere should have the information to judge for themselves whether Project Hawkeye is right for them and for the City. Datawatt Energy will hold an open public forum in Belvidere, to which the Council and all residents are invited, where the project can be explained and questioned directly.

Thank you to you and the Council for the courtesy of reading this letter.

Respectfully,

David Halligan

David Halligan
Founder and Chief Executive Officer
Datawatt Energy

cc: Mike Drella, Attorney, City of Belvidere

20 Year Tax Estimates

Datawatt Project
Belvidere, Illinois
(PINs: Multiple)

Estimated Taxes Based on:
Comparable Land Value + 50% Hard Core/Shell Construction Costs (P/MW)
Compared to
Current Market Value (Farmland)

Tax Year	2025 Tax Rate	2025 Multiplier	Estimated Effective Tax Rate*
2029	7.965%	1.0000	7.965%
2030	7.965%	1.0000	7.965%
2031	7.965%	1.0000	7.965%
2032	7.965%	1.0000	7.965%
2033	7.965%	1.0000	7.965%
2034	7.965%	1.0000	7.965%
2035	7.965%	1.0000	7.965%
2036	7.965%	1.0000	7.965%
2037	7.965%	1.0000	7.965%
2038	7.965%	1.0000	7.965%
2039	7.965%	1.0000	7.965%
2040	7.965%	1.0000	7.965%
2041	7.965%	1.0000	7.965%
2042	7.965%	1.0000	7.965%
2043	7.965%	1.0000	7.965%
2044	7.965%	1.0000	7.965%
2045	7.965%	1.0000	7.965%
2046	7.965%	1.0000	7.965%
2047	7.965%	1.0000	7.965%
2048	7.965%	1.0000	7.965%

Comparable Land Value + 50% Hard Core/Shell Construction Costs (P/MW)

Estimated Market Value	Assessment Level	Estimated Assessed Value	Estimated Tax (Total)	School District 100 Portion (89.4%)	City of Belvidere Portion (12.60%)	County Portion (10.00%)	Belvidere Park District (2.9%)	Belvidere Township (1.61%) + Belvidere Township Road (2.1%)
$71,034,902	33.33%	$23,675,633	$1,885,710	$1,307,174	$207,240	$148,971	$33,843	$89,080
$222,264,902	33.33%	$74,087,868	$5,900,929	$4,090,455	$648,501	$466,166	$105,915	$278,921
$415,884,902	33.33%	$138,614,438	$11,040,183	$7,653,005	$1,213,318	$872,174	$198,223	$521,891
$803,934,902	33.33%	$267,291,503	$19,632,284	$11,113,524	$1,761,809	$1,266,544	$288,580	$894,795
$792,084,902	33.33%	$264,001,895	$21,026,886	$14,575,833	$2,310,864	$1,661,124	$379,484	$780,087
$990,184,902	33.33%	$329,895,828	$26,270,229	$18,037,223	$2,859,823	$2,055,586	$488,364	$965,350
$1,024,644,902	33.33%	$341,514,148	$27,206,475	$18,855,369	$2,989,332	$2,148,838	$489,809	$1,009,138
$1,024,644,902	33.33%	$341,514,148	$27,206,475	$18,855,369	$2,989,332	$2,148,838	$489,809	$1,009,138
$1,024,644,902	33.33%	$341,514,148	$27,206,475	$18,855,369	$2,989,332	$2,148,838	$489,809	$1,009,138
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$1,024,644,902	33.33%	$341,514,148	$27,206,475	$18,855,369	$2,989,332	$2,148,838	$489,809	$1,009,138
$1,024,644,902	33.33%	$341,514,148	$27,206,475	$18,855,369	$2,989,332	$2,148,838	$489,809	$1,009,138
$1,024,644,902	33.33%	$341,514,148	$27,206,475	$18,855,369	$2,989,332	$2,148,838	$489,809	$1,009,138
Total Estimated Taxes (2029 to 2048)		$462,712,681	$326,752,430	$90,862,124	$38,664,302	$8,328,826	$17,186,648	

Current Tax Generation (Farmland)

Estimated Market Value****	Assessment Level	Estimated Assessed Value	Estimated Tax	School District 100 Portion (89.4%)	City of Belvidere Portion (12.60%)	County Portion (10.00%)	Belvidere Park District (2.9%)	Belvidere Township (1.61%) + Belvidere Township Road (2.1%)
$926,259	33.33%	$308,722	$24,589	$17,045	$2,702	$1,943	$443	$529
$926,259	33.33%	$308,722	$24,589	$17,045	$2,702	$1,943	$443	$529
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$926,259	33.33%	$308,722	$24,589	$17,045	$2,702	$1,943	$443	$529
$926,259	33.33%	$308,722	$24,589	$17,045	$2,702	$1,943	$443	$529
Total Estimated Taxes (2029 to 2048)		$481,774	$340,599	$94,948	$36,509	$8,812	$19,573	

Additional Tax Generation Over 20 Years	$462,712,681

Additional Projected School District 100 Taxes	$326,411,532

Additional Projected City of Belvidere Taxes	$50,511,226

Additional Projected County Taxes	$36,518,452

Additional Projected Belvidere Park District Taxes	$8,319,978

Additional Projected Belvidere Township & Belvidere Township Road Taxes	$17,186,067

Notes:

* The tax rate from a nearby City of Belvidere property was utilized (see enclosed)
** The taxing body percentages were also pulled from the same nearby City of Belvidere property (see enclosed)
*** The 2025 Effective Tax Rate (the 2025 tax rate x the 2025 multiplier) was used. It does not take into account any increases or decreases in the Effective Tax Rate between 2025 and 2048.
**** Properties are re-assessed every four (4) years in Cottar Counties, and in general values don't fluctuate much in non-reassessment years unless there's some significant change at the site. For this estimate, I included the additional yearly spend per year, not on the quadrennial reassessment cycle, so timing will vary.
***** The following taxes bodies were included in the above: IDA Library, County Conservation & Historical Museum
****** 'Market Value' is based on the farmland assessments. In reality, farmland is assessed at a lower value. Thus actual market value may vary.

The above estimates are speculative, and should be treated as such.

20 Year Tax Estimates
Datawalt Project
Belvidere, Illinois
(PINs: Multiple)

Estimated Taxes Based on:
Comparable Land Value + Hard Core/Shell Construction Costs (P/MW)
Compared to
Current Market Value (Farmland)

Tax Year	2026 Tax Rate	2025 Multiplier	Estimated Effective Tax Rate*
2029	7.965%	1.0000	7.965%
2030	7.965%	1.0000	7.965%
2031	7.965%	1.0000	7.965%
2032	7.965%	1.0000	7.965%
2033	7.965%	1.0000	7.965%
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2046	7.965%	1.0000	7.965%
2047	7.965%	1.0000	7.965%
2048	7.965%	1.0000	7.965%

Comparable Land Value + Hard Core/Shell Construction Costs (P/MW)

Estimated Market Value	Assessment Level	Estimated Assessed Value	Estimated Tax (Yearly)	School District 100 Portion (59.5%)	City of Belvidere Portion (12.00%)	County Portion (10.00%)	Belvidere Park District (5.5%)	Belvidere Township (1.81%) + Belvidere Township Road (2.1%)
$102,364,902	33.33%	$34,124,886	$2,717,835	$1,604,072	$298,701	$214,717	$149,923	$100,836
$404,584,902	33.33%	$134,848,136	$10,748,174	$7,400,634	$1,181,224	$849,108	$193,457	$398,757
$792,084,902	33.33%	$264,001,885	$21,028,880	$14,579,837	$2,310,654	$1,661,124	$378,484	$780,087
$1,188,184,902	33.33%	$369,358,028	$31,818,923	$21,496,772	$3,408,100	$2,449,663	$558,197	$1,150,505
$1,544,454,902	33.33%	$514,776,818	$41,008,275	$28,421,390	$4,505,950	$3,238,022	$738,005	$1,521,110
$1,920,654,902	33.33%	$640,184,275	$50,988,672	$35,348,198	$5,603,468	$4,027,871	$917,785	$1,891,617
$2,008,604,902	33.33%	$669,501,314	$53,347,464	$36,980,462	$5,862,588	$4,214,450	$960,254	$1,979,191
$2,008,604,902	33.33%	$669,501,314	$53,347,464	$36,980,462	$5,862,588	$4,214,450	$960,254	$1,979,191
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$2,008,604,902	33.33%	$669,501,314	$53,347,464	$36,980,462	$5,862,588	$4,214,450	$960,254	$1,979,191
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$2,008,604,902	33.33%	$669,501,314	$53,347,464	$36,980,462	$5,862,588	$4,214,450	$960,254	$1,979,191
Total Estimated Taxes (2029 to 2048)		**$904,358,658**	**$626,899,342**	**$99,358,687**	**$71,444,097**	**$10,278,402**	**$33,681,895**

Current Tax Generation (Farmland)

Estimated Market Value***	Assessment Level	Estimated Assessed Value	Estimated Tax	School District 100 Portion (59.5%)	City of Belvidere Portion (12.00%)	County Portion (10.00%)	Belvidere Park District (5.5%)	Belvidere Township (1.81%) + Belvidere Township Road (2.1%)
$926,259	33.33%	$308,722	$24,589	$17,045	$2,702	$1,943	$443	$529
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$926,259	33.33%	$308,722	$24,589	$17,045	$2,702	$1,943	$443	$529
Total Estimated Taxes (2029 to 2048)		**$491,774**	**$348,896**	**$84,946**	**$38,539**	**$8,882**	**$10,573**

Additional Tax Generation Over 20 Years	$904,358,658

Additional Projected School District 100 Taxes	$626,899,342

Additional Projected City of Belvidere Taxes	$99,047,789

Additional Projected County Taxes	$71,495,347

Additional Projected Belvidere Park District Taxes	$10,265,550

Additional Projected Belvidere Township & Belvidere Township Road Taxes	$33,541,023

Notes:

* The tax rate from a nearby City of Belvidere property was utilized (see enclosed)

** The taxing body percentages were also pulled from the same nearby City of Belvidere property (see enclosed)

*** The 2025 Effective Tax Rate (the 2025 tax rate x the 2025 multiplier) was used. It does not take into account any increases or decreases in the Effective Tax Rate between 2025 and 2048.

**** Properties are re-assessed every four (4) years in Collar Counties, and in general values don't fluctuate much in non-reassessment years unless there's some significant change at the site. For this estimate, I included the additional yearly spend per year, not on the quadrennial reassessment cycle, so timing will vary.

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The above estimates are speculative, and should be treated as such.